THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ
(through web-based video conferencing platform)

CA (CAA) No. 18/ALD of 2022
(First Motion)

Under Section 230 to 232 And Other Applicable Provisions of the Companies Act, 2013 Read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

BLUEVIEW SALES PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 (CIN: U51101UP2010PTC150362) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD GORAKHPUR-273001, in the State of Uttar Pradesh.

********* Transferor Company No. 1 / Applicant No 1

And

SKYLIGHT TRACOM PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act,1956 (CIN: U51101UP2010PTC150364) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD, GORAKHPUR-273001, in the State of Uttar Pradesh.

********* Transferor Company No. 2/ Applicant No 2

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And

TREND SUPPLIERS PRIVATE LIMTIED, a company incorporated under the provisions of the Companies Act,1956 (CIN:U511019UP2008PTC155083) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD, GORAKHPUR- 273001, in the State of Uttar Pradesh.

********* Transferor Company No. 3/ Applicant No 3

And

PASHUPATI POLYTEX PRIVATE LIMTIED, a company incorporated under the provisions of the Companies Act,1956 (CIN: U37100UP2009PTC105373) and having its Registered Office at C/o, ALOK KUMAR AGRAWAL, R.S. ENTERPRISES, SHAHI MARKET PHASE II, CINEMA ROAD, GORAKHPUR- 273001, in the State of Uttar Pradesh.

********* Transferee Company / Applicant No 4

Order pronounced on: 23.03.2022

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)
Hon'ble Mr. Ashish Verma, Member (Technical)

Present through Video Conferencing:

For the Applicant Companies:
1. Ms. Aisha Amin, Advocate
2. Mr. N. Gurumurthy, FCA

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Per : Praveen Gupta Member (Judicial)

ORDER

1. This is a joint first motion Application filed by the Applicant Companies namely- **BLUEVIEW SALES PRIVATE LIMITED** - Transferor Company No. 1 / Applicant No 1, **SKYLIGHT TRACOM PRIVATE LIMITED** - Transferor Company No. 2 / Applicant No 2,**TREND SUPPLIERS PRIVATE LIMTIED LIMITED** - Transferor Company No. 3 / Applicant No 3, with **PASHUPATI POLYTEX PRIVATE LIMITED** - Transferee Company / Applicant No 4 under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of **BLUEVIEW SALES PRIVATE LIMITED**, **SKYLIGHT TRACOM PRIVATE LIMITED,TREND SUPPLIERS PRIVATE LIMTIED LIMITED** with **PASHUPATI POLYTEX PRIVATE LIMITED**. The said Scheme is attached as Annexure-I in VOL II at Page No 306 to 336 of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies.

3. The Applicant Company No. 1 is presently engaged in providing liaison services and is earning Commission for the said services and has made Investment in Group Companies. The Applicant Company No. 3 is an associate of Applicant Company No. 1 as the latter holds 49.84% in the former.

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4. The Applicant Company No. 2 is presently engaged in providing liaison services and is earning Commission for the said services and has made Investment in Group Companies. The Applicant Company No. 3 is an associate of Applicant Company No. 2 as the latter holds 49.84% in the former.

5. The Applicant Company No. 3 is presently engaged in providing liaison services and is earning Commission for the said services and has made Investment in Group Companies. The Applicant Company No. 4 is an associate of Applicant Company No. 3 as the latter holds 41.13% in the former.

6. The Applicant Company No. 4 is presently engaged in manufacturing and selling of Polyester Staple Fiber.

7. The Ld. Counsel for the Applicant submits that the Applicant Companies are all closely held family owned and controlled Companies

8. It is submitted that the registered offices of the Applicant Companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of applicant companies lie with this Bench.

9. The rationale of the Scheme is given below:

a) The Transferee Company is presently engaged in manufacturing of Polyester Staple Fiber. Apart from pursuing its main object, all the Transferor Companies have made deployment of funds in other investable instruments. The business of the Transferor Companies and the Transferee Company can be combined/ adjusted and carried forward conveniently with combined strength;

b) The amalgamation will enable the Transferee Company to consolidate its line of business by restructuring and re-organizing its business activities and Capital Structure;

c) The amalgamation will enable the amalgamated company to broad base their business activities under the roof of the Transferee Company;

d) The amalgamation will result in economy of scale including reduction in overhead expenses relating to management and administration in better and more productive utilization of various resources;

e) The business of the Transferor Companies can be conveniently and advantageously combined together and in general with the business of the Transferee Company concerned and will be carried on more economically and profitably under the said Scheme;

f) The said Scheme of Amalgamation will enable the establishment of a larger company with larger resources and a larger capital base enabling further development of the business of the company concerned. The said scheme will also enable the undertakings and business of the said applicant company to obtain greater facilities possessed and enjoyed by one large company compared with a number of small Company for raising capital, securing and conducting trade on favorable terms and other benefits;

g) The said scheme will contribute in furthering and fulfilling the objects of the Company concerned and in the growth and development of these businesses;

h) The said scheme will strengthen and consolidate the position of the amalgamated company and will enable the amalgamated company to increase its profitability;

i) The said scheme will enable the undertakings concerned to pool their resources and to expand their activities;

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j) The said scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and to eliminate duplication of work to their common advantages;

k) The said scheme will have beneficial results for the Companies concerned, their shareholders, employees and all concerned.

10. It is stated that the Board of Directors of the Applicant Companies in their respective meetings held on 21.01.2022 have considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are all annexed with the Application as Annexure-J in VOL III at Page No 337 to 340 of the Application.

11. The appointed date of the Scheme is 01.04.2021 as mentioned in the Para 1(b) in Part II under definition of the Scheme of Amalgamation at Page No 310 in VOL II which is annexed as Annexure-I with the application.

12. It is stated that the Applicant Companies have filed their Audited Financial Statements as on 31.03.2021 and the same are annexed as Annexure: B, Annexure D, Annexure F and Annexure H with the Application. It is further submitted that Un-Audited Financial Statements (provisional) of the Applicant Companies made up to 31.12.2021 are annexed as Annexure: B1, Annexure D1, Annexure F1 and Annexure H1 with the Application.

13. It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Companies have filed Certificates all dated 10.02.2022 issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the

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Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure: T with Application.

14. It is further submitted that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Mr Vikas Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide registration No. IBBI/RV/01/2018/10339 and the same is annexed as Annexure: K with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report:

a) *To every Equity Shareholder of TRANSFEROR COMPANY NO.1, 36,827(Thirty Six Thousand Eight Hundred and Twenty Seven) Equity Shares of Rs.10/- credited as fully paid-up in the TRANSFEREE COMPANY for every 100 (One Hundred) Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in TRANSFEROR COMPANY NO.1.*

b) *To every Equity Shareholder of TRANSFEROR COMPANY NO.2, 36,824(Thirty Six Thousand Eight Hundred and Twenty Four) Equity Shares of Rs.10/- credited as fully paid-up in the TRANSFEREE COMPANY for every 100 (One Hundred) Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in TRANSFEROR COMPANY NO.2.*

c) *To every Equity Shareholder of the TRANSFEROR COMPANY NO.3, 4856 (Four Thousand Eight Hundred and Fifty Six) Equity Shares of Rs.10/- credited as fully paid-up in the TRANSFEREE COMPANY for every 100 (One Hundred) Equity Shares of Rs.10/- each fully paid-up held by such Equity Shareholder in TRANSFEROR COMPANY NO.3.*

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15. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 8 of the Part III Scheme (Annexure – I , VOL II , Page No 326 to 327)

16. It is submitted by the Ld. Counsel for the Applicants that there is no sectoral regulator in any of the Applicant Companies whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; and (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department.

17. It is submitted by the Ld. Counsel that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to/approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

18. It is stated that supplementary affidavit duly affirmed on 24-11-2022 that there are no legal proceedings, inquiry, inspection, investigation, and prosecution, litigation pending before any court of law or Tribunal against any of the Applicant Companies. Further, it is also submitted that no winding up application has been filed against any of the Applicant Companies and there are no liquidation proceedings against any of the Applicant Companies. The same has been filed under Diary No 090210900228202 on 28-11-2022.

19. It is submitted by the Ld. Counsel for the Applicants that the Applicant Companies have filed supplementary affidavit duly affirmed on 03-09-2022 annexing therein the consents of the Secured Creditors, the consent of the Unsecured Creditors and the auditors certificate confirming

payment made to unsecured creditors. The same has been filed under Diary No 0902109002282022 on 07.10.2022.

20. The applicant companies have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2021 and Unaudited Financial Statement (Provisional) as on 31.12.2021 of the Applicant Companies (Annexure- B & BI, VOL I at page No 66 to 84 and 85 to 89, D & DI, VOL I at page No 113 to 132 and 133 to 138 , F & F I , VOL I at page No163 to 181 and 182 to 186 and H & HI, VOL II at page No 218 to 280 and 281 to 305 respectively of the application).

b) Proposed Scheme of Amalgamation (Annexure–I, VOL-II at Page No 306 to 336 of the Application)

c) Certified true copy of extract of the minutes of the board resolution of the applicant companies approving the Scheme (Annexure- J, VOL III at Page No 337 to 340 of the application).

d) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure- K, VOL III at Page No 341 to 357 of the application).

e) List of equity shareholders of the Applicant No 1 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - L, VOL III Page No 358 to 364 of the application).

f) List of equity shareholders of the Applicant No 2 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure-M, VOL III Page No 365 to 371 of the application).

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g) List of equity shareholders of the Applicant No 3 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure- N, VOL III Page No 372 to 388 of the application).

h) List of equity shareholders of the Applicant No 4 along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure - O, VOL III Page No 389 to 412 of the application).

i) Nil Secured Creditors and Unsecured Creditors of the Applicant No 1 duly certified by the Chartered Accountant. (Annexure – P, VOL III at Page No 413 of the application).

j) Nil Secured Creditors and Unsecured Creditors of the Applicant No 2 duly certified by the Chartered Accountant. (Annexure – Q, VOL III at Page No 414 of the application).

k) Nil Secured Creditors of the Applicant No 3 duly certified by the Chartered Accountant. (Annexure – R, VOL III at Page No 415 of the application).

l) List of Unsecured Creditors of the Applicant No 3 along with respective consent affidavits of Unsecured Creditors approving the Scheme and dispensing with the requirement to convene the meeting duly certified by the Chartered Accountant. (Annexure – R, VOL III at Page No 415 to 418 of the application).

m) List of Secured Creditors and Unsecured Creditors of the Applicant No 4 along with respective consent affidavits of Secured Creditors and Unsecured Creditors approving the Scheme and dispensing with the requirement to convene the meeting duly certified by the Chartered Accountant. (Annexure –

S, VOL III at Page No 419 to 420 of the application, and Annexure – A , A1 to A37 at page No 8 to 96 of supplementary affidavit dated 03.09.2022)

n) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure- T, VOL III at Page No 421 to 428 of the application).

21. It is submitted by the Ld. Counsel for the Applicants that the Transferee Company / Applicant No 4 had 52 Unsecured Creditors aggregating to Rs 18,58,53,575/-. It is further submitted that out of 52 Unsecured Creditors, 14 Unsecured Creditors aggregating to Rs 7,96,70,895/ have been paid off prior to the filing of the Company Application. Further out of the remaining 38 Unsecured Creditors aggregating to Rs 10,61,82,680/, 34 Unsecured Creditors aggregating to Rs 10,00,43,489/- representing 94.22% have given their consent to the proposed Scheme of Amalgamation by way of affidavit.

22. It is submitted by the Ld. Counsel for the Applicants that the Applicant Companies had following class of shareholders and creditors :

	SHAREHOLDERS ALONG WITH THEIR CONSENT ON AFFIDAVIT			
PARTICULARS	EQUITY SHARE HOLDERS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT	PREFERENCE SHARE HOLDERS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT
TRANSFEROR COMPANY NO 1 / APPLICANT NO 1	2	100%	NIL	N/A
TRANSFEROR COMPANY NO 2 / APPLICANT NO 2	2	100%	NIL	N/A
TRANSFEROR COMPANY NO 3 / APPLICANT NO 3	4	100%	NIL	N/A

TRANSFEREE COMPANY / APPLICANT NO 4	6	100%	NIL	N/A

	CREDITORS ALONG WITH THEIR CONSENTS ON AFFIDAVIT			
PARTICULARS	SECURED CREDITORS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT	UNSECURED CREDITORS 31-01-2022	CONSENTS SUBMITTED ON AFFIDAVIT
TRANSFEROR COMPANY NO 1 / APPLICANT NO 1	NIL	N/A	NIL	N/A
TRANSFEROR COMPANY NO 2 / APPLICANT NO 2	NIL	N/A	NIL	N/A
TRANSFEROR COMPANY NO 3 / APPLICANT NO 3	NIL	N/A	1	100%
TRANSFEREE COMPANY / APPLICANT NO 4	2	100%	52	14 Unsecured Creditors paid. Consent 94.22% of the remaining.

23. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company No 1 /Applicant Company No. 1:

a) The meeting of the Equity Shareholders of Transferor Company/Applicant Company No.1 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company/Applicant Company No.1, the requirement of convening the meeting Secured Creditors does not arise.

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c) Since, there are no Unsecured Creditors in the Transferor Company/Applicant Company No.1, the requirement of convening the meeting Secured Creditors does not arise.

ii. In relation to the Transferor Company No 2 /Applicant Company No. 2:

a) The meeting of the Equity Shareholders of Transferor Company No 2 /Applicant Company No. 2 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No 2 /Applicant Company No. 2, the requirement of convening the meeting Secured Creditors does not arise.

c) Since, there are no Unsecured Creditors in the Transferor Company No 2 /Applicant Company No.2, the requirement of convening the meeting Secured Creditors does not arise.

iii. In relation to the Transferor Company No 3 /Applicant Company No. 3:

a) The meeting of the Equity Shareholders of Transferor Company No 3 /Applicant Company No. 3 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company No 3 /Applicant Company No. 3, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of Transferor Company No 3 /Applicant Company No. 3 is dispensed herewith, keeping in view that 100% in value of Unsecured

Creditors of Transferor Company No 3 / Applicant Company No. 3 have given their consents by way of affidavits.

iv. In relation to the Transferee Company/Applicant Company No. 4:

a) The meeting of the Equity Shareholders of Transferee Company/ Applicant Company No. 4 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) The meeting of the Secured Creditors of Transferee Company/ Applicant Company No. 4 is dispensed herewith, keeping in view that 100% in value of Secured Creditors of Transferee Company/ Applicant Company No. 4 have given their consents by way of affidavits.

c) The meeting of the Unsecured Creditors of Transferee Company /Applicant Company No. 4 is dispensed herewith, as 14 Unsecured Creditors have been paid off and keeping in view that 94.22% in value of Unsecured Creditors of Transferee Company/Applicant Company No.4 have given their consents by way of affidavits.

24. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Company to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax

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Department by disclosing the PAN number of the Applicant Company in the Second Motion Petition.

25. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

26. The application being Company Application CA (CAA) No. 18 / ALD / 2022 is disposed of accordingly.

27. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

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Ashish Verma
Member(Technical)

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Praveen Gupta
Member(Judicial)